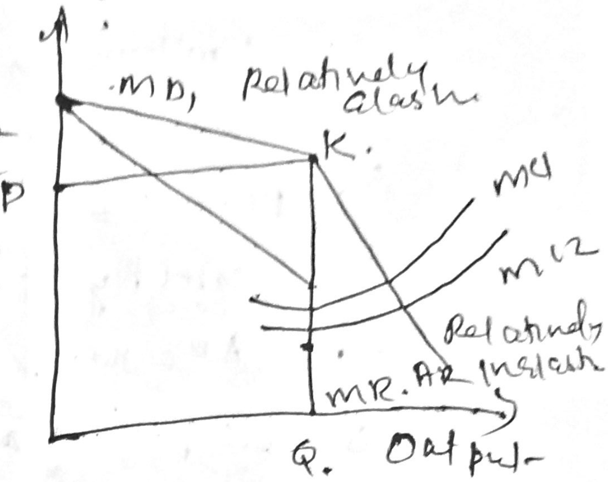
b) Each firm will face two mkt dd curves for it's products. High price firm - relatively elastic mkt dd curve. At low price inelastic dd curve. Firm has 2 dd curves.

Kink - b/c of competition.

Price rigidity - neither increase or decrease in price due to rivals action



i) Basically 3 methods.

1. Output method:- Economy divided into 3 sectors. then gross product is calculated.

2. Income method:- Adding all the income earned by various factors of production which are engaged in prdn of output.

· Expenditure method: aggregate of all final expenditure made by different agents of the economy during a year.

ii) 1) Non-monetized sector.

2) Lack of distinct differentiation.

3) Black money.

4) Non-availability of data.

5) Fluctuation in price level.